

will look at the man with the dirty face and decide he must have a dirty face, too, so the clean man will be the one who washes."

"Excellent," you respond, smiling. "You know that most people mirror what someone else does, instead of doing what is best for them. You could be a good security analyst."

All is then quiet for about a half hour, when the fourteen-year-old suddenly bellows, "No way, Dad! Your riddle totally sucks. I mean, get a life, Dad. Like, if one of your miners got so dirty, how could the other nerd stay clean? What a screwed-up mine in your mind! You must think I'm a total loser or something."

"Well, well," you say. "If you knew how to tie a necktie and fiddle an expense account, you could be a great portfolio manager someday, especially if you learn to speak English. I think what you said was that my silly riddle was based on a faulty assumption, for certainly both miners would have had to be equally clean or dirty. I wish I could see through some of the riddles of real-world investing as easily as you demolished my riddle."

If you don't look at companies with a fresh perspective, you can't hope to find stocks that are priced below their true value. Coming up with broad trends and themes is a satisfying intellectual challenge, but then comes the nitty-gritty—finding the best companies to exploit those themes. That means both understanding the companies—their products, industry position, financials, and management—and deciding if their market price does or does not fairly reflect their value and prospects.

It is painstaking, often tedious, certainly not particularly glamorous work. If it's glamour you want, maybe you should take up gambling. A lot of people treat the stock market as though it's a casino. They buy a company because its stock's ticker symbol is the same as their wife's initials. Or the treasurer of the company is married to their cousin's brother-in-law. Something like that. Their reasons for owning a stock are very superficial, and when you do superficial things, you usually get nailed. The odds may be more on your side than at the casino—after all, stocks tend to go up more